

# Futures & Options: Guide

| VIEW                           | CHOICE                                       | MARGIN | PREMIUM | RISK / REWARD                            |
|--------------------------------|----------------------------------------------|--------|---------|------------------------------------------|
| BULLISH                        | Buy Futures                                  | High   | -       | Unlimited / Unlimited                    |
|                                | Buy Naked Call (NC)                          | -      | Debit   | Limited / Unlimited                      |
|                                | Sell Naked Put (NP)                          | High   | Credit  | Unlimited / Limited                      |
|                                | Covered Call                                 | Low    | Credit  | Unlimited / Limited                      |
|                                | Bull Call Spread (1:1)                       | Low    | Debit   | Limited / Limited                        |
|                                | Bull Put Spread (1:1)                        | Low    | Credit  | Limited / Limited                        |
|                                | Bull Put Ladder                              | Low    | Credit  | Risk - Limited                           |
|                                |                                              |        |         | Reward - Limited in trade direction      |
|                                |                                              |        |         | Reward - Unlimited in opposite direction |
|                                | Long Collar                                  | Low    | Debit   | Limited/Limited                          |
|                                | Long Iron Butterfly                          | Low    | Debit   | Limited/Limited                          |
|                                | Long Iron Condor                             | Low    | Debit   | Limited/Limited                          |
| BEARISH                        | Sell Futures                                 | High   | -       | Unlimited / Unlimited                    |
|                                | Buy Naked Put                                | -      | Debit   | Limited / Unlimited                      |
|                                | Sell Naked Call                              | High   | Credit  | Unlimited / Limited                      |
|                                | Covered Put                                  | Low    | Credit  | Unlimited / Limited                      |
|                                | Bear Put Spread (1:1)                        | Low    | Debit   | Limited / Limited                        |
|                                | Bear Call Spread (1:1)                       | Low    | Credit  | Limited / Limited                        |
|                                | Bear Call Ladder                             | Low    | Credit  | Risk - Limited                           |
|                                |                                              |        |         | Reward - Limited in trade direction      |
|                                |                                              |        |         | Reward - Unlimited in opposite direction |
|                                | Short Collar                                 | Low    | Debit   | Limited/Limited                          |
|                                | Long Iron Butterfly                          | Low    | Debit   | Limited/Limited                          |
|                                | Long Iron Condor                             | Low    | Debit   | Limited/Limited                          |
| SIDEWAYS<br>(Restricted Range) | Covered Call (on declines to support level)  | Low    | Credit  | Limited / Limited                        |
|                                | Covered Put (on rallies to resistance level) | Low    | Credit  | Limited / Limited                        |
|                                | Sell Straddle or Strangle                    | High   | Credit  | Unlimited / Limited                      |
|                                | Short Iron Butterfly                         | Low    | Credit  | Limited/Limited                          |
|                                | Short Iron Condor                            | Low    | Credit  | Limited/Limited                          |
| Wild move either way           | Buy Straddle or Strangle                     | -      | Debit   | Limited / Unlimited                      |

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| ANALYSIS (AFTER TA + OI CHECK) |                                                                                                                                                                                                      | DECISION                                                         |
|--------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------|
| TREND & TARGET                 | TIDE MACD Rising and TLBO and Bullish Ungali Setup and RSI above 60 level and Start of Bullish Impulsive move<br>Supportive: ATM PE building OI and ATM & ITM CE shedding OI and Future Long Buildup | Buy Futures or NC or Call Ratio Spread                           |
|                                | TIDE MACD Falling and TLBD and Bearish Ungali Setup and RSI below 40 and Start of Bearish Impulsive move<br>Supportive: ATM & ITM PE shedding OI and ATM CE building OI and Future Short Buildup     | Sell Futures or NP or Put Ratio Spread                           |
|                                | TIDE MACD is flat / Wave ADX is flat and below 12 or Falling (Sideways Trend) / BB flat (BKP / BKT)<br>Supportive: ATM CE / PE / both building OI                                                    | Avoid Naked Options Buying.<br>Go for Credit/ Covered strategies |
| COVERED STRATEGY               | Bullish view with moderate target till expiry e.g. DB, FBD with BKP                                                                                                                                  | Covered Call / Sell ITM Put                                      |
|                                | Bearish view with moderate target till expiry e.g. DT, FBO with BKT                                                                                                                                  | Covered Put / Sell ITM Call                                      |
| SPREAD                         | Premium difference is less than Half of Strike Spread                                                                                                                                                | Debit Spread                                                     |
|                                | Premium difference is more than Half of Strike Spread                                                                                                                                                | Credit Spread                                                    |
| TIME VALUE & VOLATILITY        | Very High                                                                                                                                                                                            | Credit Strategy (SELL)                                           |
|                                | Moderate or Low                                                                                                                                                                                      | Debit Strategy (BUY)                                             |
| CALENDER SPREAD                | You are in the last week of expiry and price target could be achieved only next month                                                                                                                | Calender Spread                                                  |
| RETURN ON INVESTMENT (ROI)     | % returns on Credit Strategy = Premium Credited vs Margin Deposited                                                                                                                                  | %                                                                |
|                                | % returns on Debit Strategy = Maxium Possible Returns vs (Premium Debited + Margin Deposited, if any)                                                                                                | %                                                                |
|                                | % returns on Futures Strategy = Maxium Possible Returns vs Margin Deposited                                                                                                                          | %                                                                |